



IIFL FINANCE

IIFL Finance Limited

Fair Practices Code

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Document review and approval

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A. Background

The Reserve Bank of India (RBI) has issued broad guidelines on fair practices for Non-Banking Financial Companies (NBFCs) thereby setting standards for fair business and corporate practices while dealing with their borrowers. IIFL Finance Limited (the 'Company') has adopted all the best practices prescribed by RBI from time to time and has framed the Fair Practices Code (the 'Code').

B. Objectives

The Code has been developed with the following objectives:

1. To promote good and fair practices by setting minimum standards in dealing with borrowers;
2. To ensure transparency and thereby enabling the borrowers to have a better understanding of what they can reasonably expect of the products and services provided by the Company;
3. To promote a fair and cordial relationship between borrowers and the Company.

C. Applicability

This Code shall apply to all employees of the Company and other persons authorized to represent it in the course of its business, whether the products and services are provided across the counter, over the phone, by post, through interactive electronic device, on the internet or by any other method. This Code will also be displayed on the notice board in all the branches and also on the website of the Company.

D. Commitments

- a. The Company shall adhere to this Code to act fairly and reasonably in all dealings, on the ethical principles of fairness, integrity and transparency, to meet the standard practices prevalent in the industry.
- b. The Company shall provide clear information, without any ambiguity, to help the borrowers in understanding:
 1. the products and services together with its terms and conditions including interest rates and service charges;
 2. the benefits available to borrowers.
- c. The Company shall be prompt and empathetic in attending to the borrower's complaints considering the objectives underlying this Code.
- d. The Company shall treat all personal information of borrowers as private and confidential and shall not divulge any information to third person unless required by any law or Government authorities including Regulators or Credit Information Companies or where the sharing of information is permitted by the borrower.
- e. The Company shall not discriminate against its borrowers on grounds of race, caste, gender, marital status, religion or disability. However, the restrictions, if any, as mentioned in the loan products shall continue to apply.
- f. The Company shall refrain from interference in the affairs of the borrowers except for the purposes provided in the terms and conditions of the loan agreement (unless new information, not earlier disclosed by the borrower, has come to the notice of the lender).

E. Disclosure and Transparency

The Company shall provide information on interest rates, common fees and charges through:

- a. Putting up notices in branches
- b. Through telephones or help lines
- c. Through designated staff/help desk
- d. Providing service guide/tariff schedule
- e. Publishing on the website of the Company

F. Advertising, Marketing and Sales

The Company shall ensure that all advertising and promotional material is clear and not misleading. The Fair Practices Code shall also apply to sales associates / representatives of the Company to the extent of their identification when they approach the borrower for selling products personally. In case of any advertisement in any media and promotional literature that draws attention to a service / product and its interest rate, the Company shall also provide the details of other fees or charges, if any.

G. Credit Information Companies

The Company would provide credit information to all Credit Information Companies (CIC) regularly on fortnightly basis or at such shorter intervals as required by regulations / mutually agreed upon between the Company and CIC.

The Company shall send alerts through SMS/ email to customers while submitting information to CICs regarding default/ Days Past Due (DPD) in existing credit facilities, wherever the mobile number/email ID details are available.

The Company shall organise special awareness campaigns to sensitise their customers about benefits of submission of their mobile numbers/ email ID.

H. Know Your Customer (KYC) Directions

The Company shall explain the requirements of KYC Directions to its borrowers and inform them about the documents required for establishing the identity of the borrower before loan sanctioning, account opening and operation. The Company shall also specify the KYC documentation requirements and publish the same on Company website www.iifl.com for the benefit of the borrowers.

The Company shall obtain only such information as is needed to comply with Company's KYC, Anti-Money Laundering or any other statutory requirements. In case any additional information is asked for, it will be sought separately specifying the objective of obtaining such additional information.

I. Loans

1) *Applications for loans and its processing:*

- a. All communications to the borrower shall be in the vernacular language or a language as understood by the borrower.
- b. Loan application forms issued by the Company shall include necessary information which affects the interest of the borrower, so that a meaningful comparison with the terms and conditions

offered by other NBFCs can be made and informed decision can be taken by the borrower. The loan application form shall indicate the documents required to be submitted with the application form.

- c. The Company shall give acknowledgement for receipt of all loan applications. The time frame within which loan applications will be disposed would also be indicated in the acknowledgement. The borrower may contact the Customer service team to obtain an update on the status of the application.
- d. If the Company cannot provide the loan to the borrower, it shall communicate the same to the borrower through its appointed representatives or directly to the borrower verbally. In case the borrower requires the same in writing the reason(s) for rejection may be provided in writing.

2) *Loan appraisal and terms and conditions and Key Facts Statement for Loans and Advances:*

- a. The Company shall convey in writing to the borrower in the vernacular language as understood by the borrower by means of sanction letter or otherwise, the amount of loan sanctioned along with the terms and conditions. The said letter shall include annualised rate of interest and method of application thereof. The Company shall keep the acceptance of these terms and conditions by the borrower on its record.
- b. The Company shall also provide Key Facts Statement (KFS) to all prospective borrowers for all new retail and MSME term loans sanctioned on or after October 1, 2024, including fresh loans to existing customers. This statement will help them take an informed view before executing the loan contract, as per the standardised format given in [Annex I](#) of the Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025. The KFS shall be written in a language understood by such borrowers. Contents of KFS shall be explained to the borrower and an acknowledgement shall be obtained that he/she has understood the same.

Further, the KFS shall be provided with a unique proposal number and shall have a validity period of at least three working days for loans having tenor of seven days or more, and a validity period of one working day for loans having tenor of less than seven days (*Validity period refers to the period available to the borrower, after being provided the KFS by the Company, to agree to the terms of the loan. The Company shall be bound by the terms of the loan indicated in the KFS, if agreed to by the borrower during the validity period*)

The KFS shall also include a computation sheet of annual percentage rate (APR), and the amortisation schedule of the loan over the loan tenor. APR will include all charges which are levied by the Company.

Charges recovered from the borrowers by the Company on behalf of third-party service providers on actual basis, such as insurance charges, legal charges etc., shall also form part of the APR and shall be disclosed separately. In all cases wherever the Company is involved in recovering such charges, the receipts and related documents shall be provided to the borrower for each payment, within a reasonable time.

Any fees, charges, etc. which are not mentioned in the KFS, cannot be charged by the Company to the borrower at any stage during the term of the loan, without explicit consent of the borrower. The KFS shall also be included as a summary box to be exhibited as part of the loan agreement.

- c. A copy of the loan agreement along with a copy each of all enclosures quoted in the loan agreement would be furnished to all the borrowers at the time of sanction / disbursement of loans.

3) Penal Charges in Loan Accounts:

- a. Penalty, if charged, for non-compliance of material terms and conditions of loan contract by the borrower shall be treated as 'penal charges' and shall not be levied in the form of 'penal interest' that is added to the rate of interest charged on the advances. There shall be no capitalization of penal charges i.e., no further interest computed on such charges. However, this will not affect the normal procedures for compounding of interest in the loan account.
- b. The Company shall mention the penalties charged for late repayment in **bold** in the loan agreement.
- c. The Company shall not introduce any additional component to the rate of interest and ensure compliance in both letter and spirit. The quantum of penal charges shall be reasonable and commensurate with the non-compliance of material terms and conditions of loan contract without being discriminatory within a particular loan / product category.
- d. The quantum and reason for penal charges shall be clearly disclosed by the Company to the customers in the loan agreement and most important terms & conditions / Key Facts Statement (KFS) as applicable, in addition to being displayed on the Company's website under Interest rates and Service Charges.
- e. Whenever reminders for non-compliance of material terms and conditions of loan are sent to borrowers, the applicable penal charges shall be communicated. Further, any instance of levy of penal charges and the reason therefor shall also be communicated.
- f. The penal charges in case of loans sanctioned to 'individual borrowers, for purposes other than business', shall not be higher than the penal charges applicable to non-individual borrowers for similar non-compliance of material terms and conditions.
- g. Penal charges shall be levied as per the Board approved 'Interest rate & charges Policy'.
- h. In the case of loans existing as on August 13, 2023 (*date of the circular*), the switchover to new penal charges regime shall be ensured on next review or renewal date, or six months from the effective date of circular (*effective date January 01, 2024*), **whichever is earlier**.

4) Re-possession clause: The Company shall have a built-in re-possession clause in the contract/loan agreement with the borrower which must be legally enforceable (in case of vehicle financing).

- a. The terms and conditions of the contract/loan agreement in case of vehicle financing shall also contain following provisions:
 - i. Notice period before taking possession
 - ii. Circumstances under which the notice period can be waived
 - iii. Procedure for taking possession of the security
 - iv. Provision regarding final chance to be given to the borrower for repayment of loan before the sale / auction of the property
 - v. Procedure for giving repossession to the borrower
 - vi. Procedure for sale / auction of the property
- b. The loan agreement for lending against gold shall disclose details regarding auction procedure. The Company shall follow transparent auction procedure in case of nonrepayment with adequate prior notice to the borrower. The auction shall be announced to the public by issue of advertisements in at least two newspapers, one in vernacular language and another in national daily newspaper.

5) Disbursement of loans including changes in terms and conditions:

- a. The Company shall give notice to the borrower of any change in the terms and conditions including disbursement schedule, interest rates, service charges, prepayment charges etc. The

- Company shall also ensure that the changes in interest rates and charges are effected only prospectively. A suitable condition in this regard shall be incorporated in the loan agreement.
- b. Decision to recall / accelerate payment or performance under the agreement would be in consonance with the loan agreement.
 - c. All the securities offered by the borrower shall be released on repayment of all dues or on realisation of the outstanding amount of loan subject to any legitimate right or lien for any other claim that the Company may have against the borrower. If such right of set off is to be exercised, the borrower shall be given notice about the same with full particulars about the remaining claims and the conditions under which the Company is entitled to retain the securities till the relevant claim is settled/ paid.

6) General:

- a. In case of receipt of request from the borrower for transfer of borrowal account, the consent or otherwise i.e. objection of the Company, if any, shall be conveyed within 21 days from the date of receipt of request. Such transfer shall be as per transparent contractual terms in consonance with law.

J. Pre-payment charges on loans

- a. In case of existing loans sanctioned or renewed on or before December 31, 2025, the Company shall not levy pre-payment charges on any floating rate term loan sanctioned for purposes other than business to individual borrowers, with or without co-obligant(s).
- b. For loans and advances (term loans as well as demand loans) sanctioned or renewed on or after January 1, 2026:
 1. For all floating rate loans granted for purposes other than business to individuals, with or without co-obligant(s), the Company shall not charge levy pre-payment charges.
 2. For all floating rate loans granted for business purpose to individuals and Micro and Small Enterprises (MSEs), as defined in Micro, Small and Medium Enterprises Development (MSMED) Act, 2006, with or without co-obligant(s): the Company shall not levy any pre-payment charges on loans with sanctioned amount/ limit up to ₹50 lakh.
- c. The above provisions shall be applicable irrespective of the source of funds used for pre-payment of loans, either in part or in full, and without any minimum lock-in period.
- d. Applicability of above provision for dual/ special rate (combination of fixed and floating rate) loans will depend on whether the loan is on floating rate at the time of pre-payment.
- e. For loans other than those mentioned at sub-paragraphs (1) and (2) above, the Company shall levy pre-payment charges, if any, shall be as per the Board approved 'Interest rate & charges policy'.
- f. For term loans, pre-payment charges shall be based on the amount being prepaid and in case of cash credit/ overdraft facilities, pre-payment charges on closure of the facility before the due date shall be levied on an amount not exceeding the sanctioned limit.
- g. In case of cash credit/ overdraft facilities, no pre-payment charges shall be applicable if the borrower intimates the Company of his/ her/ its intention not to renew the facility before the period as stipulated in the loan agreement, provided that the facility gets closed on the due date.
- h. The Company shall not levy any charges where pre-payment is effected at the instance of the Company.

- i. The applicability or otherwise of pre-payment charges shall be clearly disclosed in the sanction letter, loan agreement and Key Facts Statement (KFS). The Company shall not levy pre-payment charges which have not been disclosed as specified in in the sanction letter, loan agreement and Key Facts Statement (KFS).
- j. The company shall not levy any charges / fees retrospectively at the time of pre payment of loans, which were waived off earlier by the company.

K. Fair Practices Code for Lenders on Charging of Interest

- a. Interest shall be charged from the date of actual disbursement of the funds to the customer and not from the date of sanction of loan or date of execution of loan agreement. In the case of loans being disbursed by cheque, interest shall be charged from the date the cheque is handed over to the customer and not from the date of the cheque
- b. In the case of disbursal or repayment of loans during the course of the month, interest shall be charged only for the period for which the loan was outstanding and not for the entire month.
- c. Where one or more installments are collected in advance, interest shall be charged on the reduced amount and not on the full loan amount.
- d. Online account transfers to be the preferred mode for loan disbursal, in lieu of cheques

L. Branch Closure/ Shifting

The Company shall inform the borrower in the event of closure/shifting of its branch offices. .

The Company shall give at least three months public notice prior to the date of closure of any of its branches/offices in, at least, one leading national newspaper and a leading local (covering the place of branch / office) vernacular newspaper indicating therein the purpose and arrangements being made to service the depositors, etc

M. Communication with the Borrower

Borrowers should be able to access the Company through any of the following means:

- 1. Walk-ins to branches (as mentioned in Company brochure/website/any other leaflet)
- 2. Telephone, fax, email id and website (as mentioned in Company brochure/website/any other leaflet)

N. Periodical Review

A review of compliance of the Fair Practices Code and the functioning of the grievance redressal mechanism would be done by the management at quarterly intervals and a consolidated report of such reviews shall be submitted to the Board of Directors on a quarterly basis. An updated copy of the Code shall be displayed on the Company's website.

O. Grievances Redressal Mechanism

The Company shall strive for borrower satisfaction within the framework of law, adopted policies and procedures. Such a mechanism ensures that all disputes arising out of the decisions of lending institutions'

functionaries are heard and disposed of at least at the next higher level. The Company's Grievance Redressal Procedure has been displayed on the Company website www.iifl.com and may be referred to for details pertaining to grievance redressal process and escalation matrix.

In line with RBI (Non-Banking Financial Companies – Managing Risks in Outsourcing) Directions, 2025, Company's existing Grievance Redressal Mechanism shall also deal with the complaints relating to services provided by the Outsourced agency.

P. Principal Nodal Officer under the Ombudsman Scheme

In accordance with the Reserve Bank - Integrated Ombudsman Scheme, 2026 ('Scheme'), every NBFC is required to appoint a Nodal Officer / Principal Nodal Officer. In line with the requirements, the Company has designated Mr. Amlan Singh as the Principal Nodal Officer ('PNO') for receiving and addressing complaints from borrowers in a fair and expeditious manner. The contact details of the Principal Nodal Officer and the Ombudsman are available on the Company website www.iifl.com along with the Scheme. The PNO shall be responsible, inter alia, for representing the Company before the Ombudsman and the Appellate Authority under the Scheme.

Q. Policy for Determining Interest Rate

To ensure that the borrowers are not charged excessive interest rates and charges on loans and advances by the Company, the Board of the Company has adopted a Interest Rate & Charges Policy. The same has been displayed up on the Company's website www.iifl.com.

R. Responsible Lending Conduct – Release of movable/immovable property documents on repayment/settlement of personal loans

[Applicable to all cases where release of original movable/immovable property documents falls due on or after December 01, 2023]

- a. The Company shall release all the original movable / immovable property documents and remove charges registered with any registry within a period of 30 days after full repayment/settlement of the loan account.
- b. The Company shall give the option of collecting the original movable/ immovable property documents either from the branch where the loan account was serviced or any other office of the Company where the documents are available, as per her/his preference.
- c. The timeline and place of return of original movable/immovable property documents shall be mentioned in the loan sanction letters issued on or after the effective date 01st December 2023.
- d. In order to address the contingent event of demise of the sole borrower or joint borrowers, the Company has a well laid out procedure for return of original movable/immovable property documents to the legal heirs. (Refer <https://www.iifl.com/files/2024-05/Release.pdf>)
- e. In case of delay in releasing of original movable/immovable property documents or failing to file charge satisfaction form with relevant registry beyond 30 days after full repayment/ settlement of loan, the Company shall communicate to the borrower reasons for such delay. In case where the delay is attributable to the Company, it shall compensate the borrower at the rate of ₹5,000 for each day of delay.

- f. In case of loss/damage to original movable/immovable property documents, either in part or in full, the Company shall assist the borrower in obtaining duplicate/certified copies of the movable/immovable property documents and the Company shall bear the associated costs, in addition to paying compensation as indicated in above para. However, in such cases, an additional time of 30 days will be available to the Company to complete this procedure and the delayed period penalty will be calculated thereafter (i.e., after a total period of 60 days).

S. Reset of floating interest rate on Equated Monthly Instalments (EMI) based personal loans

[Effective from 31st December 2023 for all Floating Interest rate loans (both existing and New loans)]

- a. At the time of sanction, the Company shall clearly communicate to the borrowers about the possible impact of change in benchmark interest rate on the loan leading to changes in EMI and/or tenor or both. Subsequently, any increase in the EMI/ tenor or both on account of the above shall be communicated to the borrower immediately through appropriate channels.
- b. At the time of reset of interest rates, the Company may its option provide a choice to the borrowers to switch over to a fixed rate as per Board approved policy
- c. At the time of reset of interest rates, the Company shall provide choice to the borrowers to opt for (a) enhancement in EMI or elongation of tenor or for a combination of both options; and, (b) to prepay, either in part or in full, at any point during the tenor of the loan subject to foreclosure charges/ pre-payment charges, if any.
- d. The Company shall disclose all applicable charges for switching of loans from floating to fixed rate and any other service charges/ administrative costs incidental to the exercise of the above option in the sanction letter and also at the time of revision of such charges/ costs by the company from time to time. The charges shall be levied as per the Board approved policy on 'Interest rate & Charges Policy' and same shall be displayed on the Company's website.
- e. The Company shall ensure that the elongation of tenor in case of floating rate loan does not result in negative amortisation.
- f. The Company shall make accessible to the borrowers, through appropriate channels, a statement at the end of each quarter which shall at the minimum, enumerate the principal and interest recovered till date, EMI amount, number of EMIs left and annualized rate of interest/Annual Percentage Rate (APR) for the entire tenor of the loan. The Company will ensure that communication shall be sent to all existing borrowers through appropriate channels intimating the options available to the customers.
- g. Apart from EMI loans, these provisions would apply to all equated instalment based loans of different periodicities.

T. Lending against collateral of Gold Jewellery

Pursuant to the Reserve Bank of India (Non-Banking Financial Companies – Credit Facilities) Directions, 2025 effective April 01, 2026, the Company has formulated a policy and SOP prepared under the policy covering the conduct related aspects pertaining to:

- a. Standardised procedure for assaying and valuing gold collateral
- b. Display on Company website the methodology adopted for determination of net weight of the gold content of the eligible collateral and the price used to value the gold content of the eligible collateral for determination of LTV ratio.
- c. Standardised documentation & communication across all branches
- d. Adequate systems for storing the jewellery in safe custody, reviewing the systems on an on-going basis, training the concerned staff and periodic inspection by internal auditors to ensure

that the procedures are strictly adhered to. Such loans shall not be extended by branches that do not have appropriate facility for storage of the jewellery.

- e. Procedure for release of collateral after repayment to borrower(s) / legal heir(s)
- f. The pledged gold collateral lying with the Company beyond two years from the date of full repayment or settlement of loan shall be treated as unclaimed
- g. Adequate steps to ensure that the KYC directions stipulated by the RBI are complied with and to ensure that adequate due diligence is carried out on the borrower before extending any loan
- h. Internal systems to satisfy ownership of the gold jewellery
- i. The jewellery accepted as collateral shall be appropriately insured
- j. Transparency in auction procedure : There shall be no conflict of interest and the auction process must ensure that there is arm's length relationship in all transactions during the auction including with group companies and related entities:
 - 1. The auction shall be announced to the public by issue of advertisements in at least two newspapers, one in vernacular and another in national daily newspaper
 - 2. As a policy, the Company themselves shall not participate in the auctions held
 - 3. Gold pledged shall be auctioned only through auctioneers approved by the Board
 - 4. The policy shall also cover systems and procedures to be put in place for dealing with fraud including separation of duties of mobilization, execution and approval
 - 5. The loan agreement shall also disclose details regarding auction procedure
 - 6. Procedure to be followed in case of loss of eligible collateral pledged or any deterioration or discrepancy in quantity or purity of eligible collateral during internal audit or otherwise, including at the time of return or auction of the collateral, and fair compensation to be paid to the borrower(s) / legal heir(s) in such cases, with timelines for effecting the same, etc.
- k. Other Instructions:
 - a. The Company shall not issue misleading advertisements containing unrealistic claims to promote loans against gold and/or silver collateral.

U. Loan facilities to the physically / visually challenged

The Company shall not discriminate in extending products and facilities including loan facilities to physically / visually challenged applicants on grounds of disability. All branches of the Company shall render all possible assistance to such persons for availing of the various business facilities. The Company shall include a suitable module containing the rights of persons with disabilities guaranteed to them by the law and international conventions, in all the training programs conducted for their employees at all levels. Further, the Company shall ensure redressal of grievances of persons with disabilities under the Grievance Redressal Mechanism already set up.

V. Cross-selling of non-credit products

Issuance of non-credit products shall be with full consent of the borrowers and fee structure for such products shall be explicitly communicated to the borrower in the sanction letter and KFS itself.

The Company will provide the customers with a full range of financial products the customer is eligible for. Some of these products / services will be its own; some others will be the products of the group or associate companies and also companies with which the Company will have arrangements with.

The Company will endeavour to bring synergy between the various financial services, financial products, by cross selling these products to its customers.

W. Guidelines on Conduct towards Microfinance Borrowers

As regards microfinance loans, the company shall ensure that

a. General

1. There shall be a standard form of loan agreement for microfinance loans in a language understood by the borrower.
2. The Company shall provide a loan card to the borrower which shall incorporate the following requirements. All entries in the loan card shall be in a language understood by the borrower:
 - i. Information which adequately identifies the borrower;
 - ii. Simplified factsheet on pricing;
 - iii. All other terms and conditions attached to the loan;
 - iv. Acknowledgements by the Company of all repayments including instalments received and the final discharge; and
 - v. Details of the grievance redressal system, including the name and contact number of the nodal officer of the Company.
3. Issuance of non-credit products shall be with full consent of the borrowers and fee structure for such products shall be explicitly communicated to the borrower in the loan card itself.

b. Conduct aspects in pricing of loan

1. The Company shall prominently display the minimum, maximum and average interest rates charged on microfinance loans in all its offices, in the literature (information booklets/ pamphlets) issued by it and details on its website
2. Any change in interest rate or any other charge shall be informed to the borrower well in advance and these changes shall be effective only prospectively.
3. The Company shall not charge any pre-payment penalty on microfinance loans. Penalty, if any, for delayed payment shall be applied on the overdue amount and not on the entire loan amount.

c. Guidelines related to Recovery of Loans

Recovery shall be made at a designated/ central designated place decided mutually by the borrower and the Company. However, field staff shall be allowed to make recovery at the place of residence or work of the borrower if the borrower fails to appear at the designated/ central designated place on two or more successive occasions.

Company or its agent shall not engage in any harsh methods towards recovery. Without limiting the general application of the foregoing, following practices shall be deemed as harsh:

- i. Use of threatening or abusive language
- ii. Persistently calling the borrower and/or calling the borrower before 9:00 a.m. and after 6:00 p.m.
- iii. Harassing relatives, friends, or co-workers of the borrower
- iv. Publishing the name of borrowers
- v. Use or threat of use of violence or other similar means to harm the borrower or borrower's family/ assets/ reputation
- vi. Misleading the borrower about the extent of the debt or the consequences of non-repayment

Details of grievance redressal system, including name and contact of the nodal officer shall be provided to the borrower at the time of loan disbursement.

d. **Engagement of Recovery Agents**

1. Any engagement of recovery agency, which shall, inter alia, cover individuals involved in the recovery process shall be in accordance with the due diligence process stipulated in the policy approved by the Board of directors of the Company.
2. The Company shall ensure that the recovery agents engaged by it carry out verification of the antecedents of their employees engaged in recovery, which shall include police verification. Re-verification of antecedents of such employees shall be performed on an annual basis.
3. To ensure due notice and appropriate authorisation, the Company shall provide the details of recovery agency to the borrower while initiating the process of recovery. Company shall direct the recovery agency to ensure that its employees engaged in recovery also carry a copy of the notice and the authorisation letter from the Company (which, among other details, also include the contact details of the recovery agency and the Company) along with the identity card issued to him by the Company or the agency.
4. Where the recovery agency is changed by the Company during the recovery process, the Company shall notify the borrower of the change and apply the foregoing requirements on the new agency.
5. The up-to-date details of the recovery agencies engaged by the Company shall be published on the Company's website

X. Training of staff

1. Trainings, if any, offered by the Company to its borrowers shall be free of cost. All field staff shall be trained to offer such training and also make the borrowers fully aware of the procedure and systems related to loan / other products. The Company's field staff shall be trained to make necessary enquiries regarding income and existing debt of the borrowers.
2. The Company shall be accountable for preventing inappropriate staff behaviour and timely redressal of the grievances of the borrower. The above declaration shall also be made in Code of conduct of employee.

Y. Loans Sourced through Digital Lending Platforms

Where the Company sources or originates loans through digital lending platform(s) the following additional steps shall be taken by the Company:

- a. The names of all digital lending platforms engaged as agents shall be disclosed on the Company's website.
- b. All digital lending platforms shall be directed to disclose upfront to the borrower, the name of the Company on whose behalf they are interacting with him.
- c. Immediately after sanction but before execution of the loan agreement, the sanction letter shall be issued to the borrower on the Company's letterhead.
- d. A copy of the loan agreement along with a copy each of all enclosures quoted in the loan agreement shall be furnished to all borrowers at the time of sanction/ disbursement of loans.
- e. Effective oversight and monitoring shall be ensured over the digital lending platforms engaged by the Company.
- f. Adequate efforts shall be made towards creating awareness about the Company's grievance redressal mechanism.

Z. Responsibilities of Direct Sales Agents (DSA) / Direct Marketing Agents (DMA) / Recovery Agents

1. The company shall ensure that the DSA / DMA / Recovery Agents are properly trained to handle their responsibilities with care and sensitivity, particularly aspects such as soliciting customers, hours of calling, privacy of customer information and conveying the correct terms and conditions of the products on offer, etc.
2. The company shall obtain the undertaking of DSA / DMA / Recovery Agents to abide by the code of conduct. In addition, Recovery Agents shall adhere to extant instructions on Fair Practices Code for NBFCs as also its own code for collection of dues and repossession of security. It is essential that the Recovery Agents refrain from action that could damage the integrity and reputation of the company and that they observe strict customer confidentiality.
3. The company shall strictly ensure that it or its agents do not resort to intimidation or harassment of any kind, either verbal or physical, against any person in their debt collection efforts, including acts intended to humiliate publicly or intrude upon the privacy of the debtors' family members, referees and friends, sending inappropriate messages either on mobile or through social media, making threatening and/ or anonymous calls, persistently calling the borrower and/ or calling the borrower before 8:00 a.m. and after 7:00 p.m. for recovery of overdue loans, making false and misleading representations, etc. This direction shall not be applicable to microfinance loans provided as per Reserve Bank of India (Non-Banking Financial Companies – Credit Facilities) Directions, 2025.
4. The Company shall –
 - a. Not engage Telemarketers (DSAs / DMAs) who do not have any valid registration certificate from DoT, Government of India, as telemarketers; Company shall engage only those telemarketers who are registered in terms of the guidelines issued by TRAI, from time to time, for all their promotional / telemarketing activities.
 - b. Furnish the list of Telemarketers (DSAs / DMAs) engaged by them along with the registered telephone numbers being used by them for making telemarketing calls to TRAI; and
 - c. Ensure that all agents presently engaged by them register themselves with DoT as telemarketers.

AA. General

The Company reserves the right to amend / alter / modify the codes as mentioned herein above and provide updates from time to time, not affecting / sacrificing the underlying spirit of the code. Such alteration / amendments may be displayed at the notice boards of the branches / Corporate Office / website of the Company for the benefit and information of the borrower.

BB. Review of Code

This Code may be amended, modified or supplemented from time to time. The Code shall be reviewed every year by the Board of Directors of Company or whenever there is a significant change in law governing the subject matter of the Code.